



The RSM Crypto Scam Red Flags Guide

How Scammers Take Crypto, and How to Protect Yourself and the People You Love

By Darrell Thompson | Right Side of Money

In 2025, Americans reported more than **\$11 billion in crypto-related fraud losses to the FBI**. People over 60 lost \$7.7 billion to fraud of all kinds, and crypto ATM scams alone took more than \$388 million. Most victims weren't careless. They were targeted by professionals. This guide teaches you their playbook so it never works on you or your family. (Source: FBI Internet Crime Complaint Center, 2025 report.)

01 The 7 Red Flags of Every Crypto Scam

Red Flag	What It Sounds Like
1. Guaranteed or huge returns	"You can't lose." "20% a month." "Double your money."
2. Pressure to act now or keep it secret	"You have 30 minutes." "Don't tell your bank or your family."
3. Someone you've never met guiding your money	A friendly match, a "mentor," or a wrong-number text that turns into investing advice.
4. Paying with crypto, gift cards, or wires	"The only way to settle this is with bitcoin."
5. Any instruction to use a crypto ATM	"Take your cash to the kiosk at the gas station. I'll stay on the line."
6. A request for your recovery phrase or remote access	"Enter your 12 words to verify your wallet." "Install this app so I can help."
7. Fees to withdraw your own money	"Pay the tax first, then we'll release your profits."

One red flag is enough. You don't need all seven. If you see even one, stop, hang up or close the app, and talk to someone you trust before you do anything.

02 The Scams You'll Actually See

Scam	How It Works
Relationship investment scam	Weeks of friendship or romance online, then a "can't lose" trading site. The profits are fake numbers. You can't withdraw.

Scam	How It Works
Government or bank impersonation	A "sheriff," "IRS agent," or "fraud department" says your money is at risk and must be moved into crypto to stay safe.
Fake platforms and apps	Professional-looking sites that show balances that don't exist and charge "unlock fees."
Giveaway and doubling scams	"Send 1, get 2 back," often with deepfake videos of famous people.
Task and job scams	A job paying you to rate products, but you must deposit crypto to unlock your pay.
Recovery scams	After you've lost money, someone offers to get it back for an upfront fee. It's a second scam.

03 The 10-Minute Rule

No real emergency is harmed by ten minutes of checking. Every scam depends on you acting before you think. Before you move any money because of a call, text, email, or message:

- **Hang up or close it.** Don't use the number, link, or app they gave you.
- **Look up the real contact yourself** and call or log in from there.
- **Tell one person you trust** what's happening.
- **If they said "keep it secret," that's your answer.** It's a scam.

04 Lock It Down: Your Security Checklist

Most crypto accounts aren't hacked with genius code. They're opened with a reused password and a stolen text message. Check every box before you own any crypto:

- A **password manager** with a unique password for every financial and email account
- **Authenticator app or security key** for two-factor login (not text-message codes)
- A **port-out PIN or number lock** with your phone carrier to stop SIM swaps
- The **email tied to your money** has its own strong password and two-factor login
- **Withdrawal address allowlists** turned on at any crypto platform you use
- Your **recovery phrase on paper or metal**, in two secure places, never photographed, typed, or saved online
- You **log in only from bookmarks or the official app**, never from links in messages or search ads
- You **never share** your password, two-factor code, or recovery phrase with anyone. Real support never asks.

05 Protect the People You Love

Scammers target older relatives because they're trusting, polite, and often have savings. Have this conversation this week:

- Agree on a **family code word** for any real emergency call
- Put the **three refrigerator rules** where they'll see them (below)

- Agree that they'll **call you before moving money** for anyone, for any reason
- Help them set up the **security checklist** above

The Three Refrigerator Rules

1. No government agency, bank, or company will ever ask me to pay or protect money with crypto.
2. No legitimate person keeps me on the phone while I move money.
3. I never use a crypto ATM because someone told me to.

06 If It Happens: What to Do Right Away

Step	What to Do
1. Stop paying	Not one more dollar, no matter what they promise or threaten.
2. Report it	File at ic3.gov (FBI) and ReportFraud.ftc.gov . Include wallet addresses, transaction IDs, names, and screenshots.
3. Call your bank and the platform	Tell your bank and the crypto platform you sent from. Funds that land on regulated platforms can sometimes be frozen.
4. Secure everything	Change passwords, turn on strong two-factor login, and move any remaining crypto to a new wallet if your phrase may be exposed.
5. Expect a recovery scam	Anyone who contacts you offering to recover your money for a fee is running a second scam.
6. Talk about it	Being targeted isn't a personal failure. Silence is what keeps scammers in business.

Share this guide. Print a copy for your parents, grandparents, and anyone you love who might be targeted. Go over the 7 red flags together, agree on a family code word, and put the Three Refrigerator Rules where they'll see them every day.

This guide is a bonus for students of the **5-Day Introduction to Cryptocurrency** from Right Side of Money. Family members can take the free Crypto Scam Check at **rightsideofmoney.com/crypto-scam-quiz.html**.

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